

Sun Pharmaceuticals Industries Ltd

Investment Rating : Excellent

Company Overview

Website	https://sunpharma.com/
Sector	nan
Market Cap	1,339,586.09 Cr
PE Ratio	37.9
PB Ratio	6.71
Dividend Yield	3.88 %

Financial Quality

ROE	16.7
ROCE	17.3
CFO Quality	High Quality
FCF CAGR	24.94%
Capital Pattern	Excellent

Capital Allocation

Capital Score	100.0
Reinvestment	Low Reinvestment
Debt Trend	Deleveraging
Leverage	Low

Business Overview

Sun Pharmaceutical Industries Ltd is engaged in the business of manufacturing, developing and marketing a wide range of branded and generic formulations and Active Pharma Ingredients (APIs). The company and its subsidiaries has various manufacturing facilities spread across the world with trading and other incidental and related activities extending to global market.[1] It is the largest pharmaceutical company in India.[2]

Strengths

Strong free cash flow generation over 5 years signals healthy business fundamentals.
Operating profit margin above 25% indicates strong pricing power and cost discipline.
Net profit compounding above 20% over 5 years creates significant shareholder value.
Very high interest coverage ratio reflects negligible financial stress from debt servicing.
Consistent dividend yield above 2% backed by positive free cash flow.

Risks

No significant financial weakness identified, however future performance should continue to be monitored.